

Lower inflation peak will ease the squeeze on households

- **Key changes:** The announcement of a new ceasefire deal between the US and Iran came earlier than we had anticipated, causing oil and gas prices to fall. Assuming the deal proves durable, this means that inflation will rise by less than we thought in H2 2026 and H1 2027. In response, we've raised our forecasts for UK GDP growth by 0.2ppts to 0.9% in 2026 and by 0.1ppt to 0.8% in 2027.
- **Short-term forecast:** Though recent market moves have dampened the scale of the likely rise, inflation will still pick up in H2, squeezing consumer spending power. Meanwhile, policy settings remain tight. We expect the Bank of England to keep Bank Rate at its current restrictive level until well into 2027, while fiscal policy is being tightened significantly. So, the growth outlook is quite weak, with activity forecast to be flat for the rest of this year.
- **What to watch out for:** The speed at which traffic through the Strait of Hormuz approaches pre-war levels will be key to the evolution of our short-term forecast. This will dictate the outlook for oil and gas prices and, by extension, how much household finances are squeezed. Domestically, it looks likely that Prime Minister Keir Starmer will be forced to step down this year, with Andy Burnham the most likely successor. But the process could take several months, risking a persistent uncertainty premium on gilts. So far, financial markets have given the government the benefit of the doubt, despite its fiscal plans being unconvincing. But market sentiment could quickly turn if Starmer's successor pursues a looser approach to fiscal policy.

Table 1: UK forecast overview

	(ANNUAL PERCENTAGE CHANGES UNLESS SPECIFIED)					
	2024	2025	2026	2027	2028	2029
GDP	1.0	1.4	0.9	0.8	1.8	1.7
Private consumption	-0.1	0.8	0.7	0.6	1.5	1.8
Fixed investment	1.7	4.3	0.3	1.5	2.5	2.1
Government consumption	2.9	1.6	1.3	1.6	1.4	1.2
Consumer prices	2.5	3.4	3.1	2.5	1.9	2.0
Unemployment rate (%)	4.3	4.9	5.4	5.6	5.1	4.7
Current a/c balance (% of GDP)	-3.0	-2.4	-4.1	-3.3	-2.8	-2.6
Government balance (% of GDP)	5.2	5.0	3.6	3.6	2.9	2.6
Central bank policy rate (% EOP)	4.75	3.75	3.75	3.50	3.00	2.75
10yr govt. bond yield (% EOP)	4.57	4.47	4.97	4.43	3.82	3.57
Exchange rate (US\$ per £, EOP)	1.25	1.35	1.30	1.30	1.30	1.30
Exchange rate (euro per £, EOP)	1.21	1.15	1.12	1.10	1.10	1.10

Source: Oxford Economics

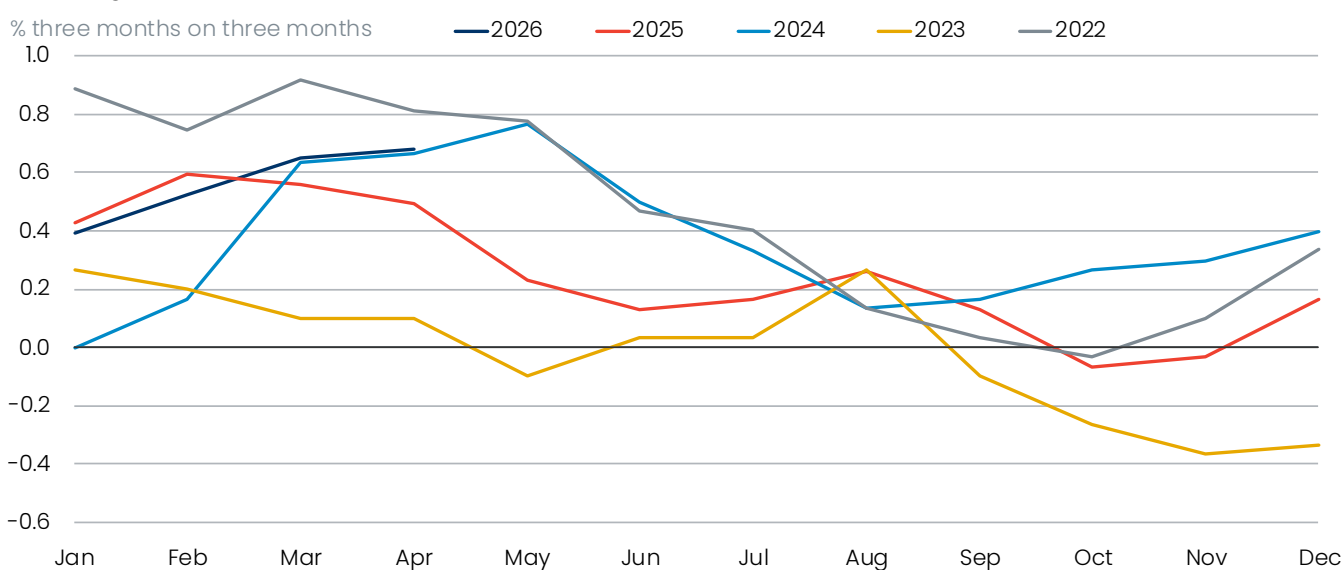
Baseline forecast

Recent developments

In April, GDP fell by 0.1% m/m after growing by 0.3% in March. So far, the monthly profile of output mirrors the picture seen in most years since the pandemic ([Chart 1](#)). In other years, momentum quickly ebbed away from Q2, and [our analysis](#) of the non-seasonally adjusted data finds that recently activity within a year has been more geared towards Q1 than before. The Office for National Statistics has said there's evidence of what it calls "moving seasonality" and suggests its seasonal adjustment process will gradually catch up. Until it does, we'll continue to build a seasonal pattern into our near-term GDP forecast.

Chart 1: The monthly profile for GDP has been consistent with the experience of the post-pandemic period

UK: GDP growth



Source: Haver Analytics

Evidence of the impact of the Middle East conflict has been inconclusive. Business survey data suggest some stockpiling of inputs by firms in the early stages of the conflict, with the boost to activity subsequently unwinding. Inflation has picked up, but upward pressure from higher petrol prices has been mitigated by downside surprises for core inflation.

Short-term forecast

In response to the new ceasefire deal between the US and Iran, which has lowered oil and gas prices, we've cut our inflation forecasts for 2026 and 2027 and nudged up our GDP forecasts for each year. We now expect GDP to rise by 0.9% in 2026, up 0.2ppts on last month's forecast, and by 0.8% in 2027, up 0.1ppt.

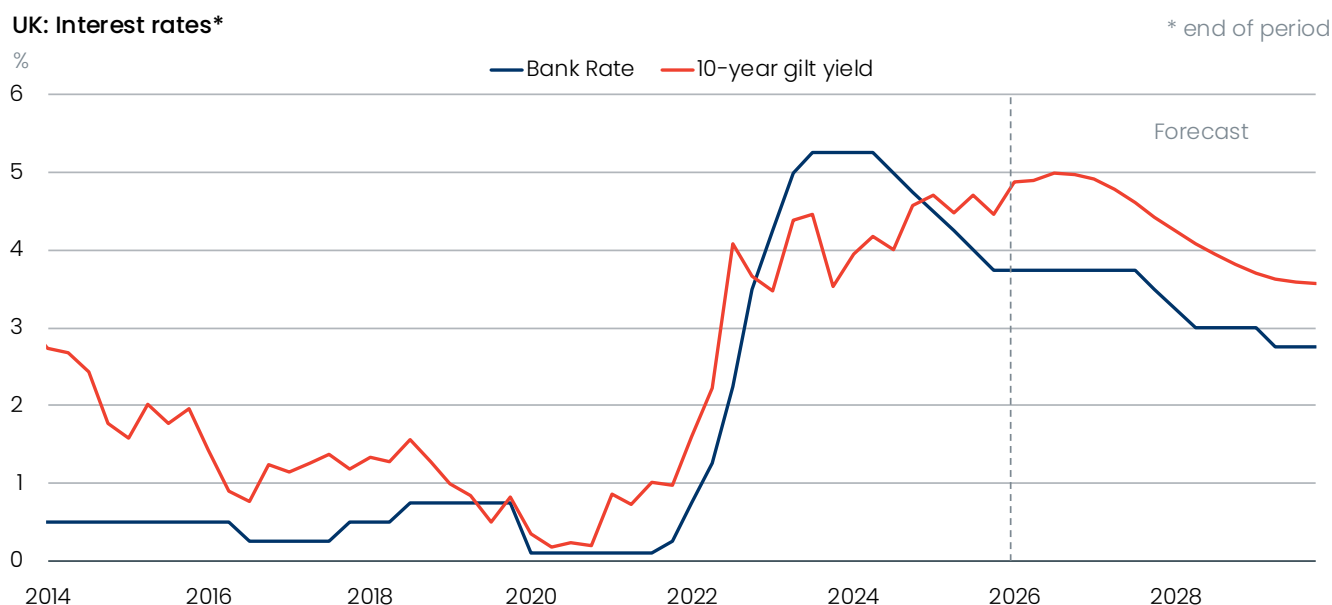
But the bigger picture remains one of elevated oil and gas prices raising inflation and squeezing household spending power. Given that this comes against a backdrop of tight fiscal and monetary policy settings, the growth outlook is quite weak.

Policy assumptions

Fiscal policy. The fragile state of the public finances means universal support to mitigate the impact of higher energy bills is unlikely. Still, the automatic stabilisers will mean this year's fiscal policy tightening will be smaller than originally planned. Thereafter, we assume the government will continue with its planned tightening until FY2028–2029, but expect it to scale back the planned tightening in FY2029–2030, given that it'll be an election year.

Monetary policy. Our baseline forecast assumes the Monetary Policy Committee will keep Bank Rate unchanged at 3.75% until well into next year, as it balances the near-term inflation shock caused by the conflict in the Middle East against a fragile labour market ([Chart 2](#)). The current level of Bank Rate is restrictive, so we expect rate cuts to resume in 2027, once it becomes clear that the inflation shock is transitory.

Chart 2: We forecast Bank Rate to remain at 3.75% until cuts resume in 2027



Sources: Oxford Economics, Haver Analytics

Key drivers of short-term forecast

Elevated inflation will cause real incomes to stall. Although decreased assumptions for oil and gas prices point to a lower peak for inflation, we still expect household finances to be squeezed. We forecast real household income growth to slow to 0.4% this year and 0.3% in 2027, which would be the weakest performance since 2022.

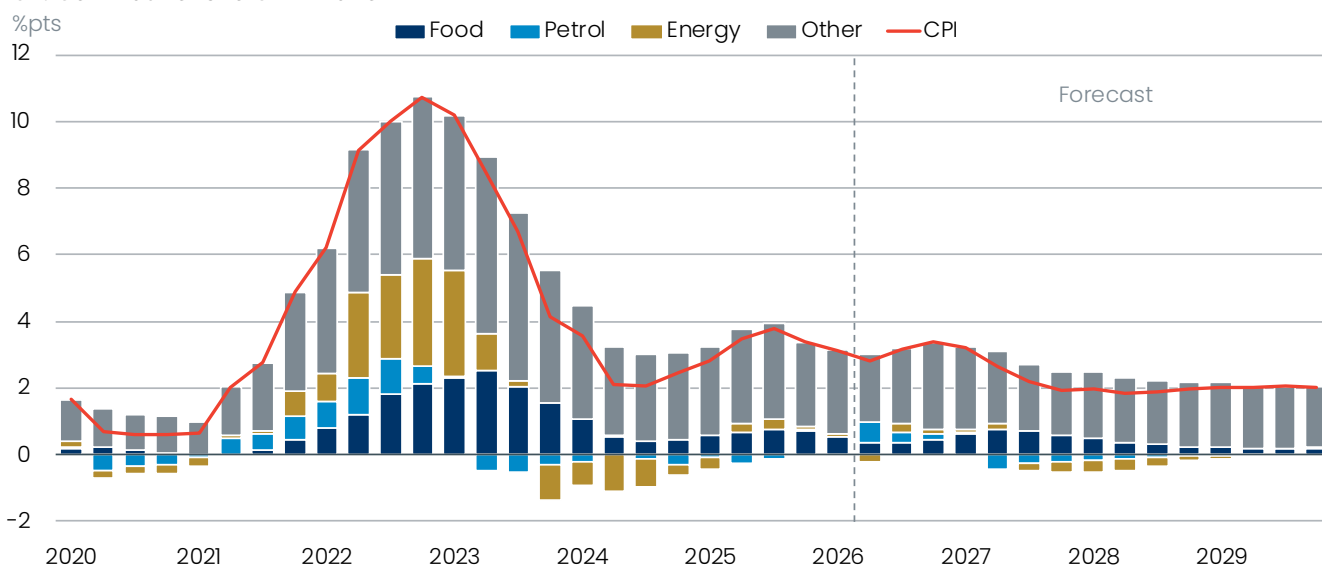
Recent falls in oil prices mean that we're likely past the peak for petrol prices. But Ofgem's energy price cap will increase by 13% in July as the impact of the recent spike in wholesale gas prices feeds through; we forecast the price cap to fall back gradually over the following year. We also expect indirect impacts of higher oil and gas costs to continue to emerge, pushing up the prices of other goods and services.

There may be some second-round effects on inflation via higher pay growth, but these effects are likely to be much smaller than those seen in the aftermath of the 2022 energy price spike. Workers' limited ability to secure much stronger pay rises will also mean most people are likely to experience squeezed spending power.

We now expect CPI inflation to peak at around 3.5% in late-2026, around 1ppt lower than we anticipated a month ago. Inflation should cool through 2027, dropping back to the Bank of England's 2% target towards the end of that year, aided by strong base effects caused by this year's surge in energy prices ([Chart 3](#)).

Chart 3: Higher fuel and energy prices will temporarily push up inflation this year

UK: Contributions to CPI inflation

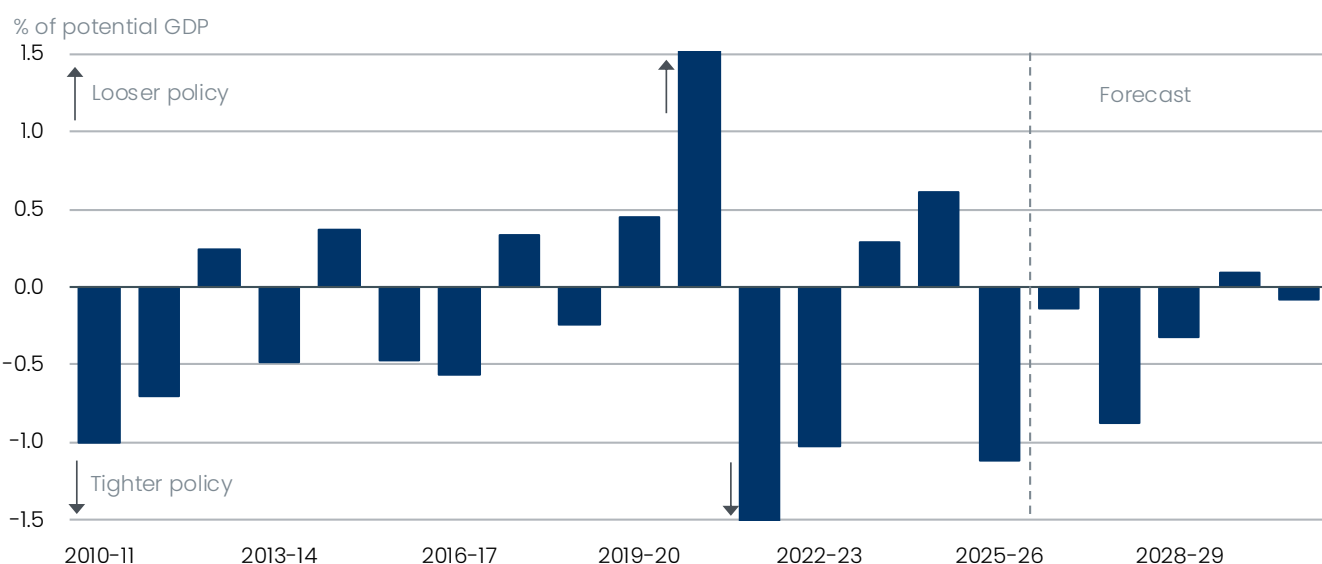


Sources: Oxford Economics, Haver Analytics

Fiscal policy is tightening. The ongoing freeze on most tax thresholds and allowances means fiscal policy will add to the squeeze on household spending power. The threshold freeze accounts for a major part of a large, tax-based tightening of fiscal policy over the next few years ([Chart 4](#)). We forecast tax revenue to increase to 42% of GDP in FY2028–2029 from 40.1% of GDP in FY2025–2026. We project government spending will rise by 0.3% of GDP over the same period.

Chart 4: Fiscal policy will be tightened significantly until FY2028–2029

UK: Fiscal impulse



Sources: Oxford Economics, Haver Analytics

The impact of past rate hikes will continue to emerge. In the period until mid-2027, many borrowers will refinance cheap fixed-rate mortgage deals taken out before mid-2022. The Middle East conflict has triggered a large rise in swap rates, driving up quoted fixed-term mortgage interest rates. Though some of that increase should reverse

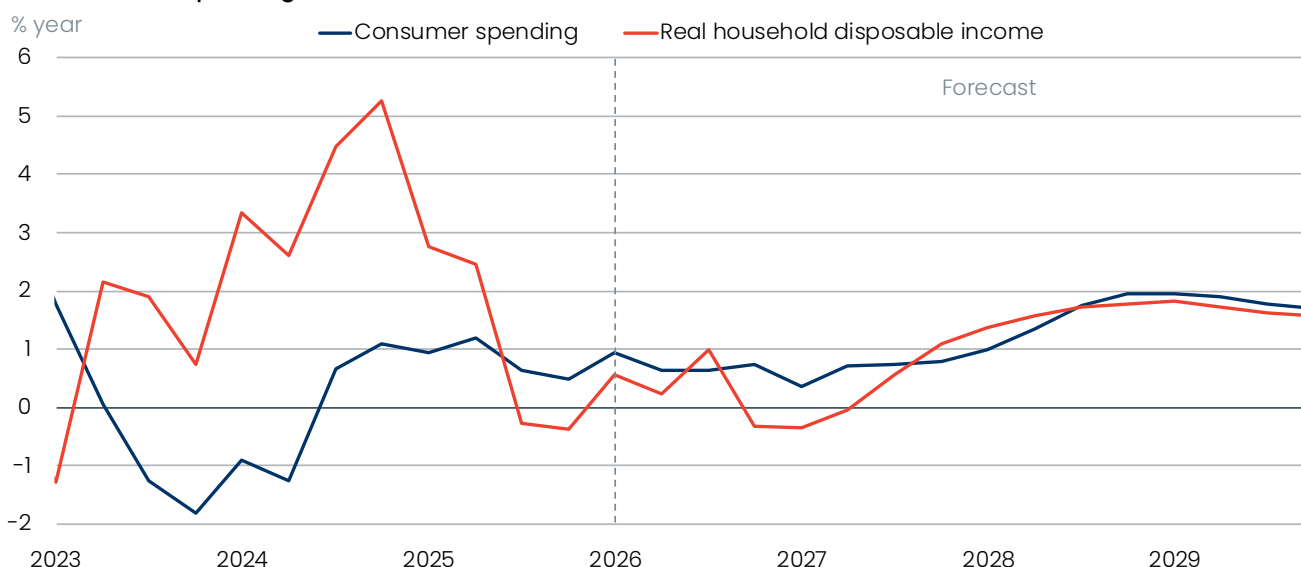
as markets begin to consider the prospect of BoE policy rate cuts again, we estimate that borrowers refinancing five-year fixed-rate deals this year will face an increase in their mortgage rate of more than 300bps.

The combination of costlier fixed-rate mortgages and the lack of rate cuts from the BoE means we forecast the average interest rate on the outstanding mortgage stock to continue to rise until late-2027.

Consumers will likely save less. Households have been very cautious in recent years, saving an unusually high share of their income and showing muted demand for credit. But we expect consumers to repeat the experience of 2022-2023 and mitigate the squeeze on spending power by saving less ([Chart 5](#)).

Chart 5: Lower saving should mitigate the impact of weak real household income growth

UK: Consumer spending & income



Sources: Oxford Economics, Haver Analytics

Business investment will be held back by weak profitability and fragile confidence. Corporate profitability remains close to multi-year lows, reflecting a succession of drags from high energy costs, sustained strong pay growth, and the increase in employers' National Insurance contributions.

The Middle East conflict is causing a renewed increase in input costs for many firms, and weak demand will limit their ability to pass on the cost increases to consumers. At the same time, with the conflict likely ending hopes of more Bank Rate cuts this year, corporate borrowing costs are unlikely to fall. So, profitability is likely to remain under severe pressure, and this will limit the availability of internal funding for investment.

Early survey evidence suggests the conflict is also damaging business confidence, which was already at low levels. On top of the profits squeeze, firms have had to contend with the impact of ongoing elevated trade policy uncertainty. The conflict has added to the uncertainty about future demand.

The combination of scarce funding and fragile corporate sentiment means we expect business investment to fall by 2.2% this year.

What to watch out for

Conflict in the Middle East. The recent agreement between the US and Iran is a significant step towards reaching a full-blown deal, but there will likely be bumps in the road. How quickly traffic in the Strait of Hormuz approaches pre-war levels will be key to oil and gas prices, but there remains significant uncertainty about this. However, the agreement reduces the tail risk of dwindling oil inventories prompting a recession-inducing oil price spike.

Further out, there's uncertainty around how inflation expectations will adjust. The BoE is wary of a repeat of 2022–2023, when expectations became de-anchored and there were substantial second-round effects via higher wages. This ultimately resulted in monetary policy being tightened by more than 500bps. We think weaker labour market conditions will mean any second-round effects are much smaller this time.

Elevated fiscal and political risk undermining UK asset prices. Following May's poor local election results, it looks increasingly likely that Keir Starmer will be forced to stand down as Labour leader and Prime Minister. Andy Burnham's victory in the Makerfield by-election means that he's likely to challenge Starmer imminently and would probably win a leadership contest. But if Starmer opts to fight the contest or other candidates can demonstrate the required level of support to stand, the process of replacing Starmer might take several months. This could result in a lingering risk premium on gilts.

So far, markets have largely given the government the benefit of the doubt, despite its fiscal plans being unconvincing. Plans for a large consolidation in the year of the next election don't look credible, while history suggests the focus on tax rises increases the risk that the consolidation fails. Market sentiment could quickly turn against the government if a new leader attempts to loosen fiscal policy.

Planning reforms. The government has identified improving the UK's poor post-global financial crisis growth performance as a priority. It sees overhauling the planning system as a key plank of this strategy, making it easier to develop sites, particularly for housebuilding. However, many previous governments set similar aims but struggled to achieve tangible improvements. Capacity constraints among construction firms may also limit the effectiveness of a policy centred on increasing housebuilding.

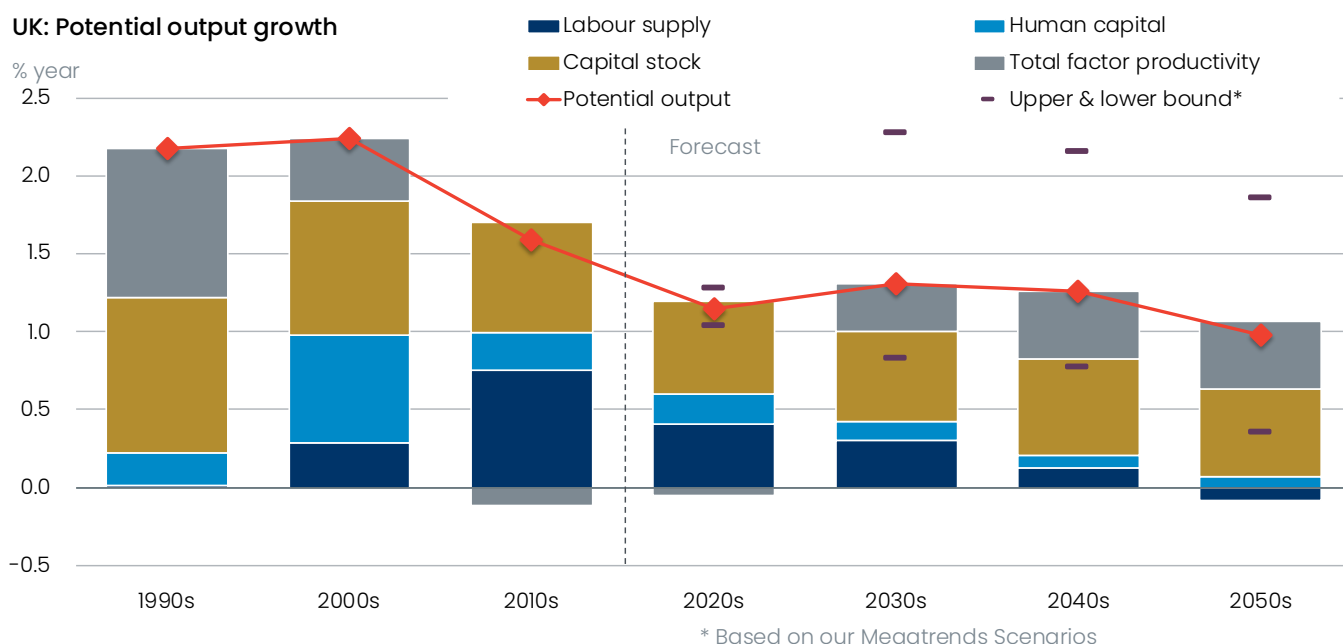
Immigration reforms. The UK has become heavily reliant on strong net inward migration to drive labour supply growth. Data-quality issues make assessing current trends challenging. But taken at face value, net inflows have slowed sharply due to immigration reforms by the previous government, while emigration has increased.

Earlier this year, [we cut our assumptions](#) for net inflows over the next five years in response to the recent data. But there's a risk that immigration could drop even lower, particularly given that the government plans additional measures that would make the UK less attractive for migrants. Implementing these measures would weigh on the already-weak economic growth outlook over the medium term, making it harder for the government to achieve its fiscal targets. Lower immigration also risks causing renewed skills shortages in some sectors.

Long-term prospects

Between the start of the GDP series in 1948 and 2007, UK GDP growth averaged 2.5% a year. But growth has been much weaker since. The legacy of the global financial crisis meant that, in the 2010s, potential output grew by just 1.5% a year. We expect potential output growth to remain well below the pre-GFC norms ([Chart 6](#)).

Chart 6: Our baseline forecast shows an increasing reliance on productivity growth



Sources: Oxford Economics, Haver Analytics

We expect productivity growth to gradually recover. The recent poor performance partly reflects drags from one-off factors, such as the GFC and the pandemic, which are unlikely to recur. We also expect the drag on productivity growth from Brexit to fade, although the impact on productivity levels will remain significant. We forecast a boost to productivity from the adoption of artificial intelligence.

Since the GFC, the poor productivity performance has been mitigated by an expanding labour supply. But this support will increasingly fade. The population is ageing, and participation drops off steeply moving up the age distribution. The support from a rising state pension age will also fade. Between 2010 and 2020, the state pension age rose to 66 from 60 for females and to 66 from 65 for males. By contrast, after the increase in the state pension age to 67 from 66 that's taking place over the next couple of years, there's only one other increase – to 68 between 2044 and 2046 – currently legislated for.

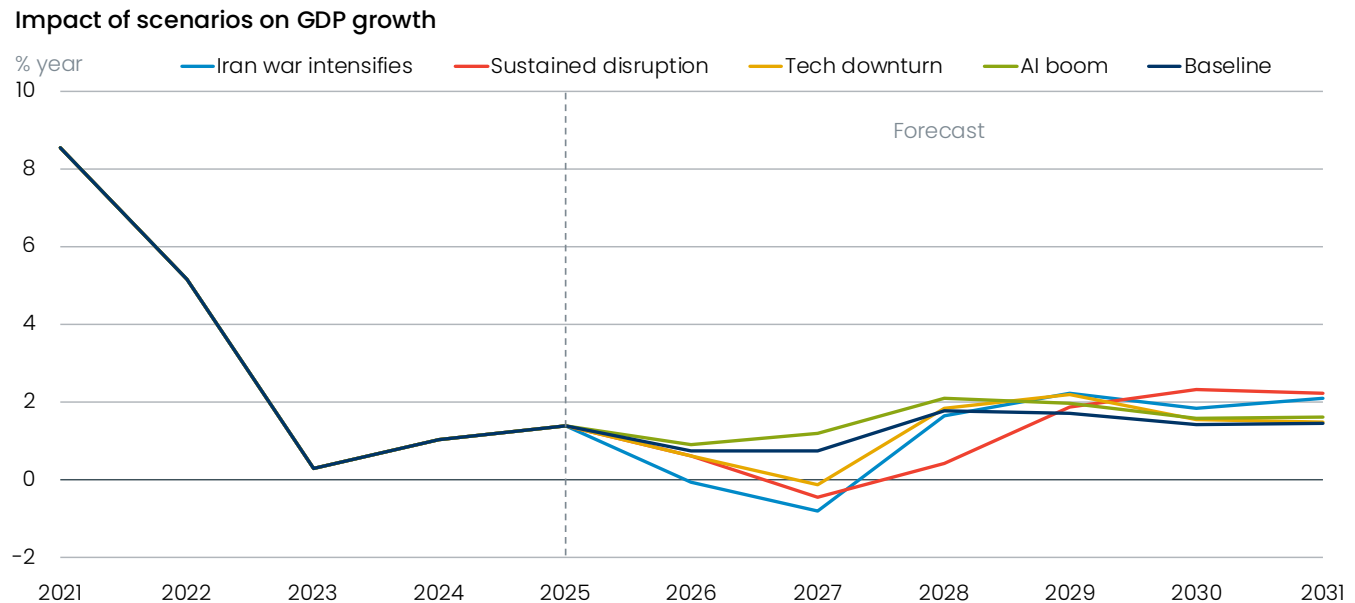
In the coming years, net inward migration *is likely* to be much lower than in the recent past. This largely reflects the impact of a tightening of visa criteria by the previous government, which has caused sharp declines in the number of people coming to the UK to work and the number of dependents. For the medium term, we've adopted the ONS [2024-based population projections](#) that were published in April. This assumes net inflows average 230,000 a year over the medium term. Growth in the working-age population is forecast to slow sharply from the end of this decade, and by the 2050s, the workforce is likely to be consistently contracting year on year.

Scenarios

Exposure to key global risks

Sustained disruption. We're maintaining two scenarios around the Iran war. Our more severe scenario examines the risk that the Strait of Hormuz stays effectively closed until 2028. Energy prices remain elevated as a result. Oil prices rise to \$120pb in the near term and edge higher to around \$130pb over the course of 2027 as inventories are drawn down. Inflationary pressures rise over time. Supply-chain pressures outside the energy sector persist and the protracted period of higher energy prices leads to a steady rise in inflation expectations. Central banks react by tightening policy and government bond yields rise steadily above baseline. Over the next three years, UK GDP growth would be 0.9ppts a year below our baseline forecast in this scenario ([Chart 7](#)).

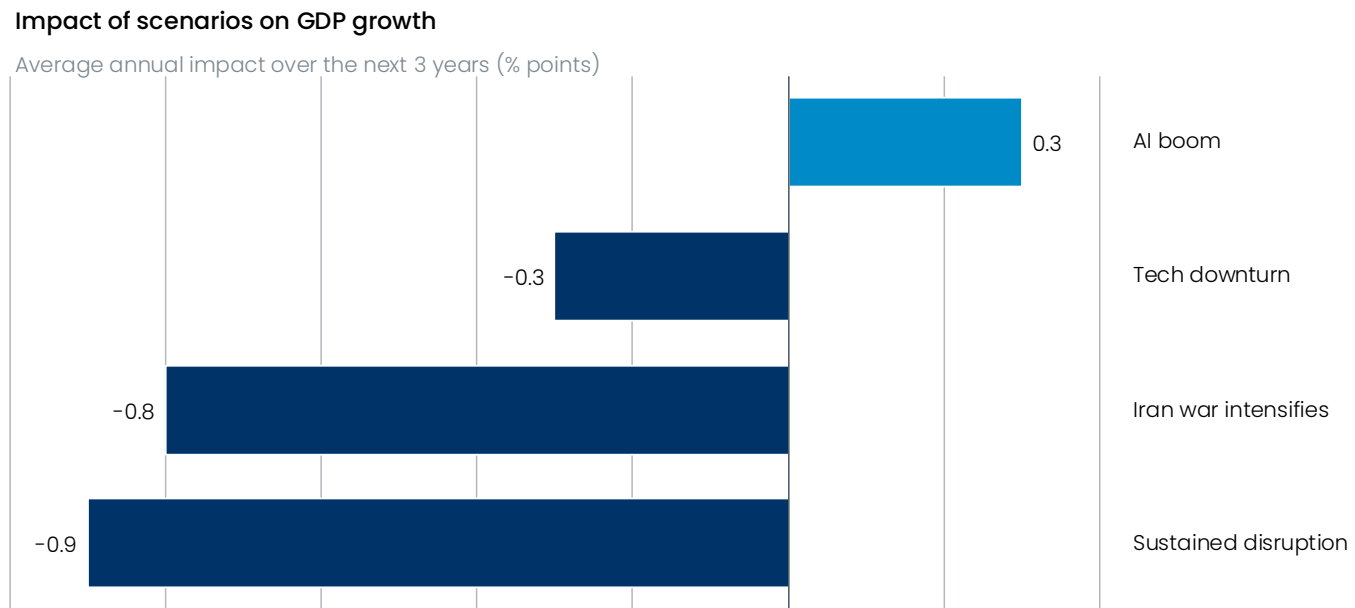
Chart 7: Sustained disruption in the Strait of Hormuz is the key near-term risk



Source: Oxford Economics

AI boom. We're also maintaining two scenarios around AI adoption. In our upside scenario, the global economy is bolstered by buoyant US tech investment and stock prices, at the same time as rapid AI adoption fuels gains in productivity. Exporters of tech products and other economies gain from robust US demand. Unemployment falls below our baseline, despite some worker displacement from new technologies. Price pressures rise, despite productivity gains as AI is rapidly adopted. Over the next three years, UK GDP growth would be 0.3ppts a year above our baseline forecast in this scenario ([Chart 8](#)).

Chart 8: Risks are skewed to the downside



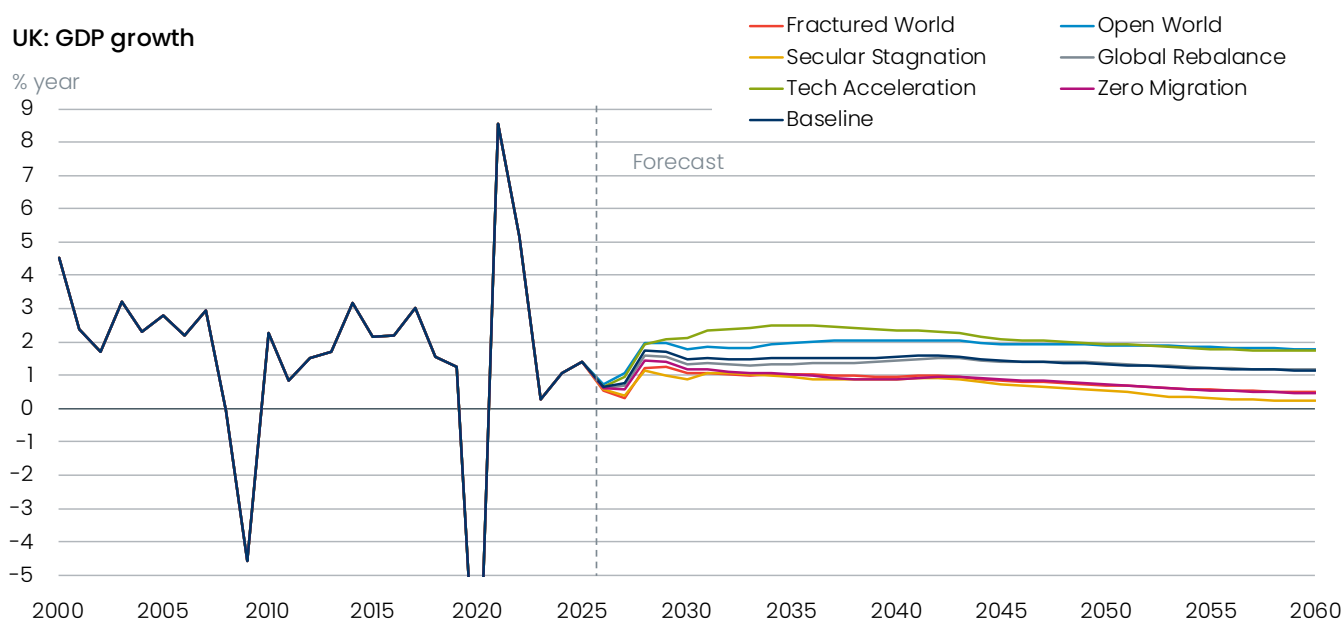
Source: Oxford Economics

Alternative long-run scenarios

Our Megatrends Scenarios explore alternative long-run scenarios to capture the uncertainty around technological advances, demographics, globalisation, and geopolitics. These include:

Tech acceleration. In this scenario, new technologies, including AI, are successfully deployed due to robust R&D and effective regulation. In the short term, investment increases as firms rapidly deploy capital to fund computing, automation, and data infrastructure, to embed new technologies into production. Worker displacement due to new technology raises unemployment. However, the productivity growth boost is sizeable, so UK GDP growth would be 0.7ppts a year higher than our baseline forecast. Nominal and real interest rates also rise.

Chart 9: Globalisation and technological progress are the main scenario drivers



Sources: Oxford Economics, Haver Analytics

Fractured world. Under this scenario, trade barriers from rising protectionism become more widespread than in our baseline, driving further deglobalisation. High uncertainty and volatility lead to underinvestment in technology and R&D. Weaker institutions and reduced knowledge spillovers compound impacts on potential output, while poor productivity limits real wage growth and labour participation. UK GDP grows 0.6ppts below the baseline each year, coupled with lower real rates.

Economic risk

Economic risk evaluation

Table 2: Economic Risk Index

	JUN 2026 (SCORES FROM 1 TO 10 WITH 10 = HIGHEST RISK)	SCORE CHANGE FROM DECEMBER	RANK OUT OF 164 (1 = BEST)
Overall	3.4	0.0	25
Market demand	2.0	0.0	2
Market cost	3.0	0.0	13
Exchange rate	4.5	-0.1	112
Sovereign credit	3.4	-0.1	32
Trade credit	4.0	0.0	15

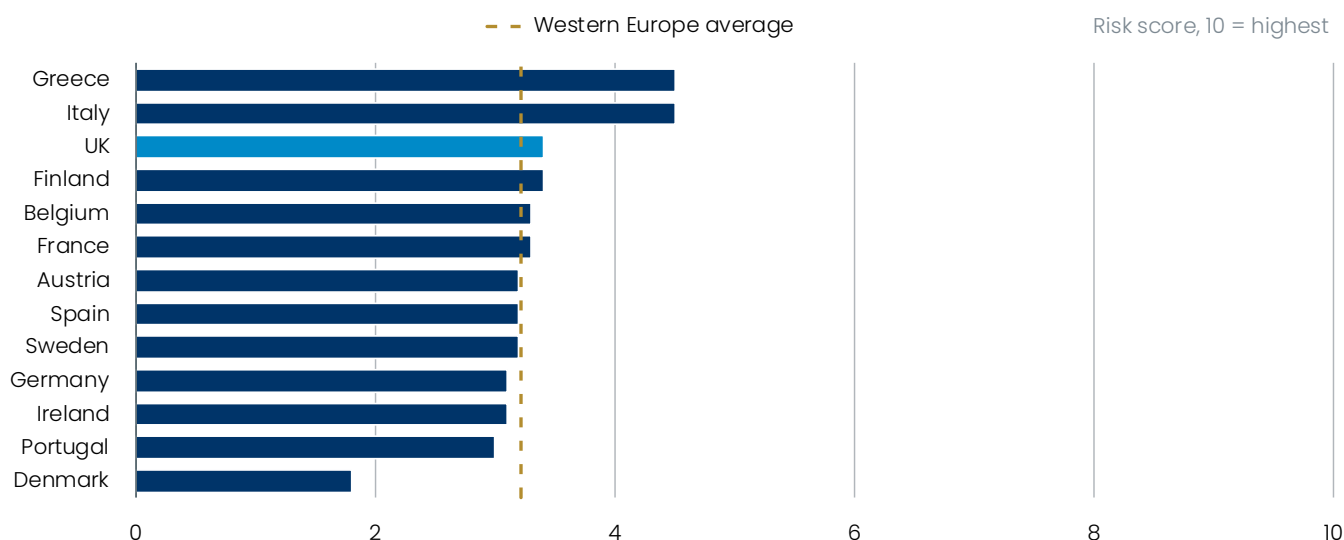
Source: Oxford Economics

Overall risk for UK: 3.4/10*

The UK's overall economic risk score of 3.4 is low, ranking it 25th out of the 164 countries in our survey. The risk score is unchanged from six months ago, but just above the Western European average ([Chart 10](#)).

Chart 10: The UK's risk score is above the Western European average

Economic risk: UK vs Western Europe average



Source: Oxford Economics

The UK has endured three major shocks – the global financial crisis, Brexit, and the pandemic – over the past 20 years. The shocks were key factors behind persistently weak growth and a marked deterioration in the UK's fiscal position.

The legacy of Brexit will continue to weigh on medium-term growth prospects. But the UK's demographic profile is more favourable than most other Western European economies, while its strength in faster-growing areas of private services will also provide support.

Market demand: 2.0/10

The market demand risk score is low at 2.0, below the Western European average of 3.3.

Over the medium term, due to the UK's more favourable demographics, it will likely achieve firmer rates of economic growth than many other Western European economies. Its sectoral profile is also supportive.

Market cost: 3.0/10

The market cost risk score is 3.0, slightly above the Western European average of 2.8.

The UK has endured two major supply shocks this decade, which caused inflation to consistently overshoot the BoE's 2% target. The first was goods shortages caused by the pandemic. The second was the surge in wholesale gas prices following Russia's invasion of Ukraine. We now expect the conflict in the Middle East to have a milder impact on inflation and once that has passed, we think the long-term structural factors that kept inflation low over the previous two decades will reassert themselves.

Exchange rate: 4.5/10

Under our methodology, the UK's exchange rate risk score is 4.5, well above the Western European average of 3.4.

We observed three periods of sterling depreciation against the US dollar over the past decade. First, in the aftermath of the UK's decision to leave the EU in 2016, reflecting investors' perception that Brexit had damaged medium-term growth prospects. Second, in H1 2022, reflecting the heightened uncertainty caused by Russia's invasion of Ukraine and the US Federal Reserve's hawkish shift. And third, when the September 2022 mini-budget triggered substantial volatility in sterling and other asset prices due to market concerns surrounding the credibility of the government's medium-term fiscal plans.

We expect sterling to weaken over the next six months. This partly reflects the unwinding of earlier dollar weakness, but we also expect markets will increasingly question the credibility of the government's fiscal policy, particularly given the likelihood of a change of leadership.

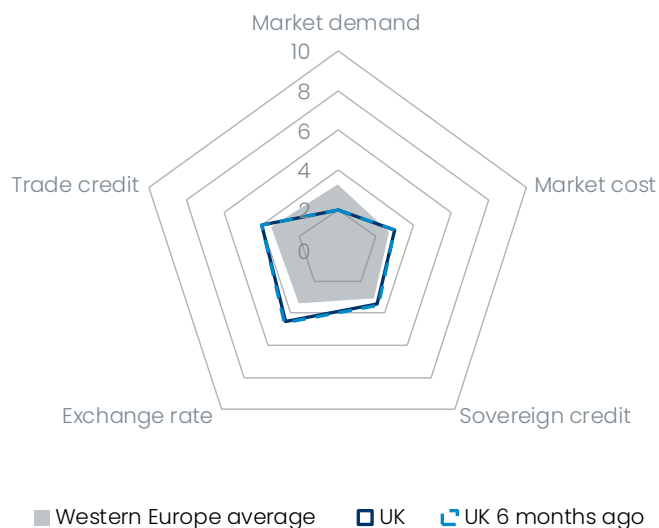
Sovereign credit: 3.4/10

The UK's sovereign credit risk score of 3.4, based on our data-driven methodology, is higher than the Western European average of 3.1.

Poor debt dynamics have left UK fiscal policy in a constant state of flux, and we identify several problems with the government's current fiscal plans. A large chunk of the planned tightening is due to take place in the year of the next election, which doesn't look credible. The shape of the consolidation may also pose challenges. [History suggests](#) revenue-based consolidations have a higher risk of failure, while attempting to generate large increases in smaller revenue streams may induce behavioural changes, potentially leading to lower-than-anticipated tax receipts.

Chart 11: The UK scores comparatively poorly on FX and sovereign credit risk

Economic risk: UK vs Western Europe average



Source: Oxford Economics

Trade credit: 4.0/10

The trade credit risk score – a measure of private-sector repayment risk – is 4.0. While this is above the Western European average of 3.6, it's well below the peaks seen during the pandemic and after Russia's invasion of Ukraine.

We expect trade credit risk to remain relatively low. Companies in the UK have deleveraged significantly since the global financial crisis, and large companies are in particularly strong financial health.

* Risk scores are from 1 to 10, with 10 representing the highest risk. For our full country risk service, see [Economic and Political Risk Dashboard](#). Sovereign credit risk comes from our sovereign risk tool and foreign exchange risk comes from our FX tool. [Find out more](#).